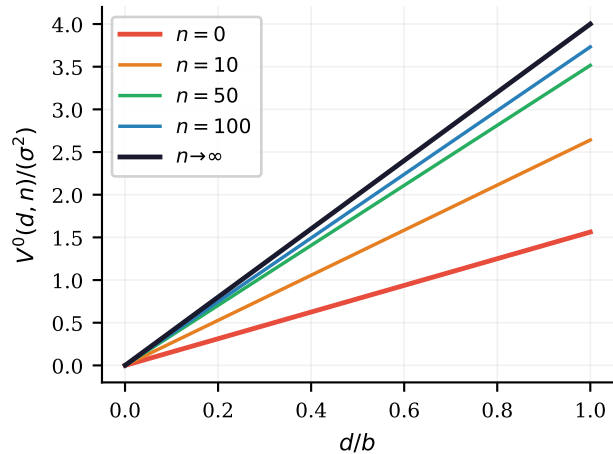


(a) Bayes GZ value function

$$V^0(d, n) = \bar{\kappa}(n)^2 \sigma^2 d/b$$

(b) Bayesian shrinkage estimate $\bar{\kappa}(n)$ and resulting BGZ leverage slope